Module II

INNOVATION AND CREATIVITY IN ENTREPRENEURSHIP

SYLLABUS

Role of innovation in entrepreneurship, Techniques for fostering creativity and innovation, Business Planning and Strategy, Developing a business plan, Strategic planning and competitive advantage

Introduction

Innovation is the process of creating and implementing new ideas, products, services, or processes that result in positive change.

It involves transforming inventive concepts into practical solutions that provide value to individuals, organizations, or society as a whole.

Innovation can manifest in various forms, including technological advancements, business models, and creative problem-solving.

Role of Innovation in Entrepreneurship

1. **Competitive Edge:** Innovation allows entrepreneurs to distinguish their products or services from competitors, fostering a unique selling proposition that attracts customers.
2. **Market Responsiveness:** Entrepreneurs use innovation to adapt to evolving market demands, staying ahead of trends and addressing changing consumer preferences.
3. **Problem Solving:** Entrepreneurs often identify gaps or challenges in the market and innovate solutions, leading to the establishment of new businesses.
4. **Resource Efficiency:** Innovation enables entrepreneurs to find more efficient ways of utilizing resources, reducing costs and enhancing productivity.

5.Value Creation: Through innovative products or services, entrepreneurs create value for customers, generating growth opportunities and building brand loyalty.

6.Risk Mitigation: Entrepreneurial endeavors inherently involve risk, and innovation helps in developing solutions that can mitigate potential risks and uncertainties.

7.Long-Term Sustainability: Continual innovation ensures that businesses remain relevant and competitive over the long term, adapting to changing environments and staying resilient.

01

Opportunity Identification:

Idea Generation, Screening, Selection and Managing Resources

02

Business Plan:

Meaning and significance, Business Plan Components, Feasibility study

03

Strategic Planning for Business, Innovation and entrepreneurship:

types and sources of innovation, Innovations in Start Ups - stories

Business Opportunity

A business opportunity refers to a set of circumstances that present a chance for an entrepreneur to create, develop, and run a business that can fulfill the needs or wants of a market or a group of customers. It is a situation where a potential entrepreneur can leverage their skills, knowledge, resources, and innovative ideas to create value and generate profit.

IDEA GENERATION AND SCREENING

IDEA GENERATION

- Idea generation or ideation is the. act of forming ideas. It is a creative process that encompasses the generation, development and communication of new thought become the basis of your innovation strategy.

COMPONENTS OF IDEA GENERATION

- Brainstorming.
- Mind Mapping.
- SCAMPER technique (Substitute, Combine, Adapt, Modify (Also magnify and minify), Put to another use , Eliminate, and Reverse).
- Reverse Thinking.
- Collaboration.

IMPORTANCE OF IDEA GENERATION

- Idea generation is a very important activity, without which we would have nothing to work on. This activity also proves to be very beneficial for all the parties involved.

- The organization gets a lot of innovative ideas to work upon, the employees get to be a part of the bigger picture. There's an increase in creativity and a lot of effective solutions are generated.

SOURCES OF IDEA GENERATION

- Sources of idea generation are the people and places from where you get your ideas. Several internal and external sources help to generate ideas. Employees and the research & development department of the company are great internal sources.

- Whereas, external sources are also very helpful. These are customers, suppliers, competitors, distribution channels, government, educational institutions, and focus groups.

SCREENING

- Idea screening is the process of evaluating new product ideas early on in the development process to ensure that they meet business objectives and customer expectations.

IDEA SCREENING STEPS

- Brainstorm ideas
- Evaluate ideas against specific criteria
- Carry out qualitative and quantitative research
- Concept Development & Testing

BUSINESS PLAN

MEANING OF BUSINESS PLAN

- Business plan is a written statement of what an entrepreneur proposes to take up. It is a kind of guide frost or course of action what the entrepreneur hopes to achieve in his business and how is he going to achieve it.

What is business plan ?

- **A business plan is a roadmap for setting up and managing a business.**
- **It helps to structure, run, and grow a business.**
- It is a tool for thinking through the key elements of the business.

Business Plan- Key Components

1. **Executive Summary:**
   Purpose: Summarizes the entire business plan, highlighting key aspects.
   Content: Mission, vision, goals, and critical points from each section.
2. **Business Description:**
   Purpose: Provides a detailed overview of the business.
   Content: History, objectives, products or services offered, and the unique value proposition.
3. **Market Analysis:**
   Purpose: Examines the industry and market conditions.
   Content: Competitor analysis, target audience identification, market trends, and a SWOT analysis.

4.Organization and Management:

Purpose: Describes the organizational structure and introduces key team members.

Content: Overview of the company's structure and profiles of team members.

5.Product or Service Line:

Purpose: Focuses on the offerings and their unique features.

Content: Detailed information about products or services, competitive advantages.

6. Marketing and Sales:

Purpose: Outlines the strategies for reaching and attracting customers.

Content: Marketing strategy, sales plan, customer acquisition and retention strategies.

7.Funding Request (if applicable):

Purpose: Details financial needs for potential investors or lenders.

Content: Amount needed, use of funds, and potential return on investment

8. Financial Projections:

Purpose: Presents future financial estimates.

Content: Income statements, balance sheets, cash flow projections, break-even analysis.

9. Appendix:

Purpose: Contains additional supporting documents.

Content: Resumes of key team members, market research data, legal documents.

10. Review and Refinement:

Purpose: Ensures the plan remains up-to-date and relevant.

Content: Regularly review and update the plan based on changes in the business environment.

Why should we need a business plan ?

01

To articulate the business vision and objectives.

02

To identify potential sources of funding.

03

To provide a roadmap for success.

04

To identify potential risks and develop strategies for mitigating them.

05

To benchmark progress and measure success

1. TO ARTICULATE THE BUSINESS VISION AND OBJECTIVES.

- Establish a clear direction
- Facilitate decision making
- Motivate and inspire employees

2 . TO IDENTIFY POTENTIAL SOURCES OF FUNDING

- Equity financing
- Debt financing
- Grants

3 .TO PROVIDE A ROADMAP FOR SUCCESS

- Formulate a clear mission statement
- Create a comprehensive business plan
- Set realistic goals and establish milestones

4. TO IDENTIFY POTENTIAL RISKS AND DEVELOP STRATEGIES FOR MITIGATING THEM

- Identify the risks
- Assess the risks
- Develop mitigation strategies

5. TO BENCHMARK PROGRESS AND MEASURE SUCCESS

- Establish clear goals and objectives
- Measure performance against goals and objectives
- Track financial performance

IMPORTANCE OF BUSINESS PLAN

- It will help you steer your business as you start and grow.
- It’s not as hard as you think.
- It will help you to reach business milestones.
- It can help you get funding.
- There’s no wrong way to write a business plan.

What Is a Feasibility Study?

- A feasibility study is an analysis that considers all of a project's relevant factors—including economic, technical, legal, and scheduling considerations—to ascertain the likelihood of completing the project successfully

Feasibility analysis

- Feasibility analysis is the process of determining whether a business idea is viable.

Benefits of feasibility analysis

- To access the merit of your business idea
- Determine whether there is a market for your idea
- Whether the idea is financially viable
- Overall demand for new products , services or ideas
- Characteristics of likely competitors
- Characteristics of likely customers

BUSINESS STRATEGIC PLANNING

STRATEGIC PLANNING IS KEY FOR SUCCESS IN BUSINESS.BY PLANNING STRATEGICALLY FOR THE FUTURE, A BUSINESS CAN ACHIEVE ITS GOALS.ITS EASIER SAID THAN DONE,BUT THE MORE YOU KNOW ABOUT STRATEGIC PLANNING,THE BETTER CHANCE YOU HAVE AT SUCCEEDING.

STRATEGIC PLANNING PROCESS IN 3 STEPS

01 **SET BUSINESS GOALS**

02 **CONDUCT A SWOT ANALYSIS**

03 **DEVELOP A BUSINESS STRATEGY & STRATEGIC PLAN**

HOW TO DEVELOP A STRATEGIC PLAN

01 WHERE IS THE BUSINESS ?

02 WHERE DO YOU WANT TO GO?

03 HOW CAN YOU GET THERE ?

KEY COMPONENTS

1.MISSION STATEMENT

2.VISION STATEMENT

3.CORE VALUE

4.BUSINESS OBJECTIVES

5.SWOT ANALYSIS

6.ACTION PLAN

7.FINANCIALS

8.PERFORMANCE MEASUREMENTS

BUSINESS STRATEGIC PLAN EXAMPLE

1 MISSION,VISION & CORE VALUES

- MISSION STATENENT
- VISION STATEMENTS
- CORE VALUES

2 BUSINESS OBJECTIVES

- BUSINESS OBJECTIVE 1
- BUSINESS OBJECTIVE 2
- BUSINESS OBJECTIVE 3

3. SWOT ANALYSIS

- STRENGTHS
- WEAKNESS
- OPPURTUNITIES
- THREATS

4. ACTION PLAN

- BUSINESS OBJECTIVE 1
- BUSINESS OBJECTIVE 2
- BUSINESS OBJECTIVE 3
- FINANCIALS

INNOVATION AND ITS IMPORTANCE

INNOVATION

Innovation means to improve or replace something, for example, a process, a product, or a service.

Innovation means developing original concepts and is a driver of reimaging business.

Differentiation

Innovation helps entrepreneurs create product or services that are unique and differentiate them from their competitors. By offering something new or improved, entrepreneurs can standout in a crowed market and attract more customers.

Competitive Advantage

Innovative products or services can provide a competitive advantage by creating a barrier to entry for competitors. It can be difficult for competitor to copy or replicate innovative solutions, giving entrepreneurs an edge in the market

Increased Revenue

Innovation can lead to development of new product or services that can generate additional revenue streams for the entrepreneur. By creating new product or services, entrepreneurs can tap into market and expand their customer base.

Improved Efficiency

Innovation can also help entrepreneurs improve their processes and increase efficiency, leading to cost savings and improved profitability.

Adaptability

In todays fast – paced business environment, innovation is crucial for entrepreneurs to stay relevant and adaptable. By constantly innovating, entrepreneurs can respond quickly to changing market conditions and customer needs.

Types of Innovation

Architectural

A significant improvement on a product that aims to sustain the position in an existing market

Disruptive

Technology or new business model that disrupts the existing market

Incremental

Gradual, continuous improvements on existing products and services

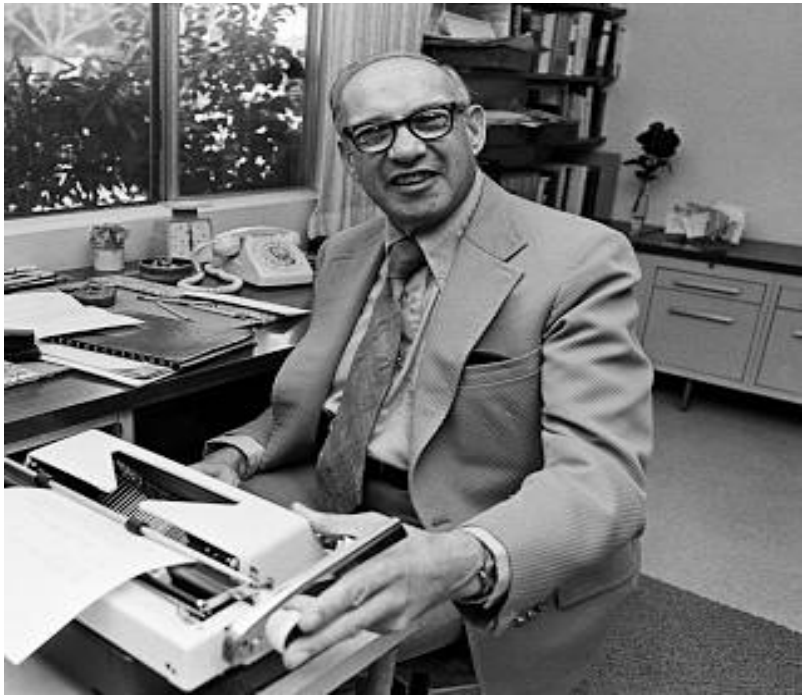
Radical

Technological breakthrough that transforms industries, often creates a new market

SOURCES OF INNOVATION?

- Anything that leads to innovation can be termed as sources of innovation. Most innovations, however, especially the successful ones, result from a conscious, purposeful search for innovation opportunities, which are found only in a few situations.
- Innovation is a specific function of entrepreneurship and must precede it
- DRUCKER'S VIEW OF OPPORTUNITY – INCLUDES 7 INNOVATION

PETER DRUCKER



Austrian-American consultant

According to Drucker, the best source for successful innovation is from **an Unexpected Success or Failure**. Exploitation of this requires analysis simply because an unexpected success is a symptom.

SOURCES OF INNOVATION OF ENTREPRENEURIAL VENTURE

- *Unexpected Occurrences*
- *Incongruities*
- *Process Needs*
- *Industry and Market Changes*
- *Demographic Changes*
- *Changes in Perception*
- *New Knowledge*

1. Unexpected Occurrences

- The business world is full of surprises - not only the unexpected failures but also the unexpected success that comes to the organization can be a great source of inspiration for innovation.
- Economic shocks, technology breakthroughs, political changes and shifts in customer tastes can all dramatically affect product and service markets.
- Your focus should be in identifying what opportunity these changes create.

2. Incongruities

- Incongruities refers to the perceived expectation of a product and the difference between customer expectation.
- Many companies fall into the trap of developing their product without to actually do the appropriate research to determine what the target customers really want.
- The customer reviews, feedback, and complaints are often the best way to determine incongruity.
- MP 3 case

3.Process Needs

- Sources of innovation can rise from process needs, to be able to identify a unique solution to a process problem economic and performance benefits.
- Here the source of opportunity for innovation comes after looking closely at the processes of the company and identifying clearly the weak spots and the ways they can be improved.

4. Industry and Market Changes

- ***Industry and market changes are sources of innovation*. Such changes often result as people change their preferences, tastes, and values.**
- **Companies must be able to identify current market changes and develop innovation which foster growth.**
- **Here the source of opportunity for innovation comes after looking closely at the processes of the company and identifying clearly the weak spots and the ways they can be improved**

5. Demographic Changes

- **The emphasis on innovation amongst the largest and fasting growing age groups. These groups will have their own consumer demand and preference.**

Demographic change describes the changes in population size and structure caused by changes in birth rates, death rates, and by migration.

Demographic change in the Western developed countries of today is marked by low birth rates below population replacement and by rising life expectancy.

6. Changes in Perception

Capitalising on people or society's perception. Sources of innovation in this area can be risky if they are inaccurate perceptions.

- ✔ **Perception changes over time, and, nowadays, due to the involvement of technology and the power of social networks, these changes happen faster than ever.**
- ✔ **EXAMPLE ON SMOKING**

7. New Knowledge

New knowledge is the main driver behind innovation in the advanced economy and it is the entrepreneurs' duty to translate this innovation, through their initiatives and business, into economic development.

Knowledge has great value since it is inherently unique to your organisation. It shapes and drives your business activity, your ability to sell or do more,and stand apart from your competitors. Individual knowledge is easily lost, especially when key employees leave.

START UP STORIES

zerobizz.

NYKAA

SUCCESS FORMULA

About Nykaa

- Indian beauty retail company
- Started as an e-commerce platform.
- Nowadays, Nykaa has three kinds of stores namely, Luxe, On Trend, and kiosks.
- Comprehensive customer support.
- Ships all across Indian subcontinent including Nepal.

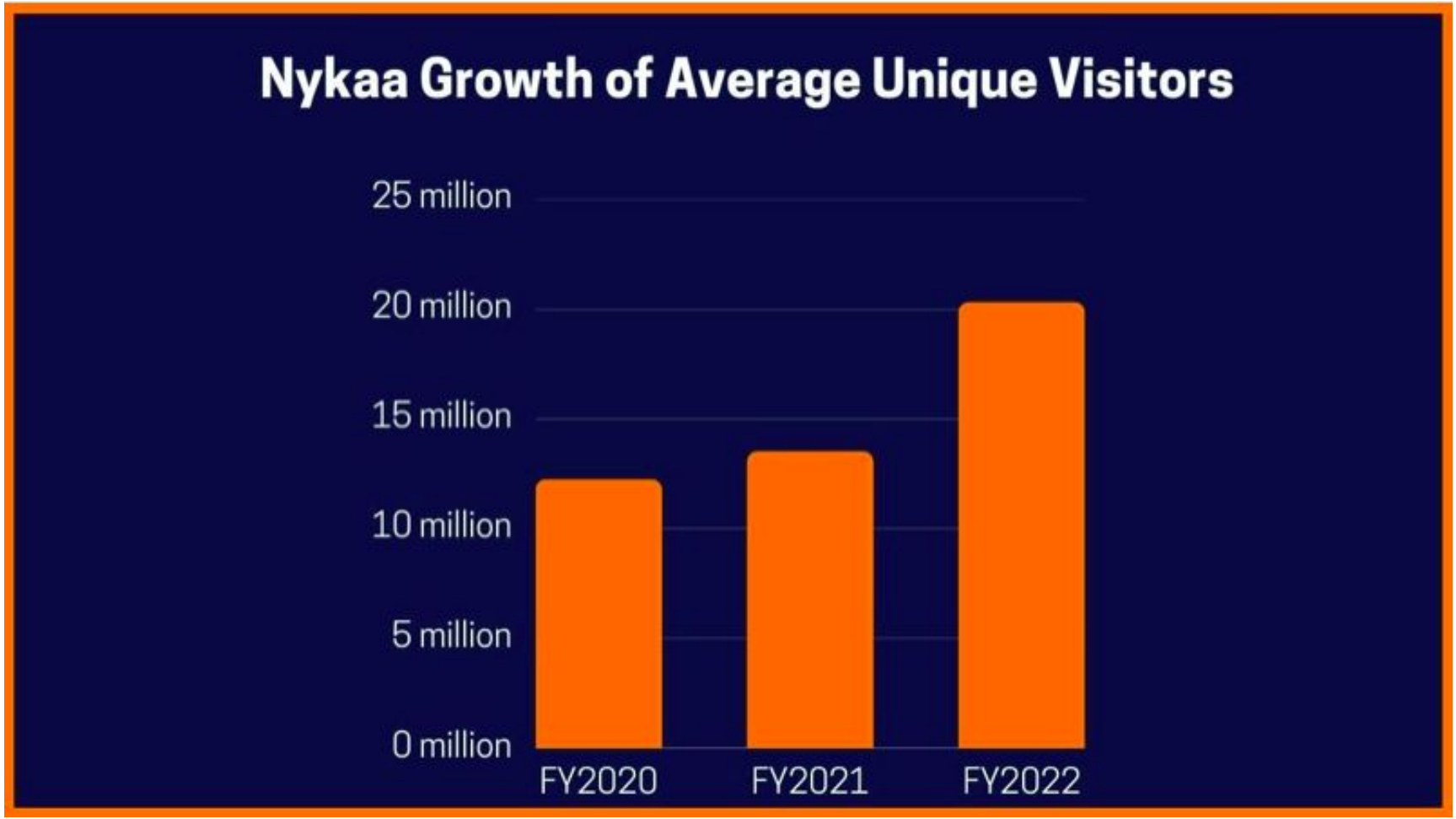
Origin

Established in 2012

Falguni Nayar the founder became an entrepreneur at 50, after 25 years experience in the corporate sector as an investment banker.

The market for beauty and cosmetic products in India was not at par with the scope of the products.

Gradually, Nykaa has become popular for its wide range of BPC products, and fashion items that the company makes available on its website and app.


Nykaa Growth of Average Unique Visitors
25 million
20 million
15 million
10 million
5 million
0 million
FY2020
FY2021
FY2022

Business Model

- **D2C ecommerce brand**

- **Inventory based business model**

Resulting in high-profit margins. Besides, the company also ensures the authenticity of products and follows competitive pricing.

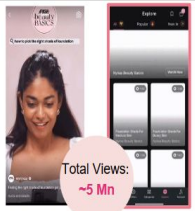
Consumers
Ratings & Reviews
Lifestyle Content
100% Authentic Products
Seamless Shopping Experience
Education and Awareness of Trends and Products
NYKAA
Lifestyle Products
Product Advertisement
Warehousing
Omnichannel Distribution
Brand Building
National and International Brands
Followers
Monetisation Opportunities
Lifestyle Content
Celebrities and Influencers

Marketing Strategy

- Youtube marketing
- Email marketing
- Social media marketing & influencer marketing
- Content marketing
- Event marketing

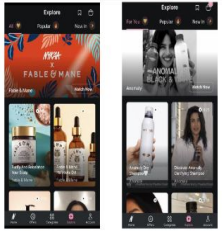
Launch of Anomaly by Priyanka Chopra Jonas

Nykaa partnered with Priyank Chopra Jonas to create content for the launch of **Anomaly**, PCJ's own Hair Care Brand **exclusively available on Nykaa**.



Launched Nykaa Beauty Basics

Nykaa launched **Short Format beginner-led educational videos on YT, Insta and App** specifically catering to Indian skin types and tones



Brand Launch Takeover on our Explore Feed

Brand Covered:
1. **Fable & Mane**
2. **Anomaly**

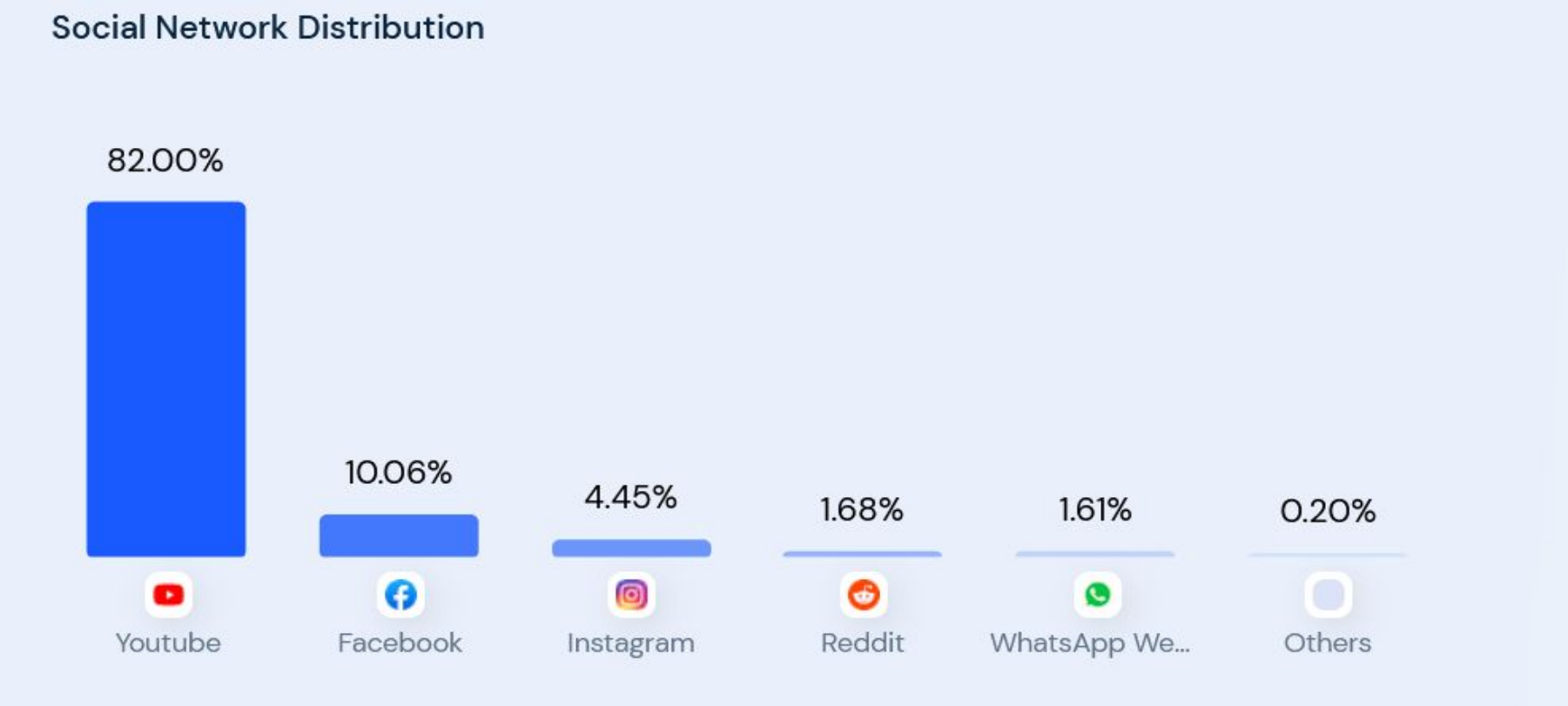
Nykaa Wellness Week

Campaign to provide audience with roadmap to help achieve their **Health & Wellness goals**

I Beauty

Nykaa partnered with **India's top dermatologists to create curated 4-step beauty routine** tailormade for Indian skin supported to help beauty consumers find the best solution for their skin.

Social network distribution



Key takeaways from Nykaa

1.Define business process

2. Target customers

3. Seek valuable business partnerships

4. Build an irresistible value proposition

5. Craft a demand creation strategy

Future Plans

- Expansion of offline business
- Expansion of warehouse capacity by 40%
- Expand its fulfilment centres across the country to boost customer experience

SPOTIFY.

Spotify

01 **Since**
2006

02 **Creator**
Daniel EK

Spotify

- Most used music platform.
- Over 299 million subscribers across over 100 markets.
- Provides international streaming platform.
- Finest quality audios.
- Offline mode.

Spotify targets audiences in different sections :

Criteria

Spotify target audience

Age

Mainly 18 – 24 years

Total market

178+

Gender

More men than women

Top countries

USA , Europe , Latin America , North America

Type

Students and young business professionals

Marketing Strategy of Spotify :

1. Freemium Model is the USP of Spotify
2. A Minimalistic App Interface
3. Connecting With Artists for Collaborations
4. Emotional Ads for Promotion
5. Personalized at its Core

Innovation is the ability to
see changes as an
opportunity – not as a threat

— Steve Jobs

Thank you